HEALTHPLUS INTERNATIONAL ANALYSIS REPORT

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HealthPlus International Dashboard

Executive Summary

Regions & KPI's Totals (Revenue, Profit, and Units sold)

HealthPlus International operates in five regions: Africa, Asia, Europe, South and North America. Total Revenue across all regions - 125M, Total Profit is 20.7M, Net Profit is -14.5M. Overall Profit Margin - 17%. Most of the revenue comes from Europe and South America - 47%. Europe also has the highest Total Profit of 7.3M, and most of the Units sold - 59K (24%).

Categories

There is a 31.3-point difference between the top and bottom categories in terms of profitability. The top category is Education (35.6%), while the lowest performing categories are travel (4.3%), automotive (8.7%), and energy (9.8%). HealthPlus should replicate Education's best practices, optimize costs in weak categories, and aim for a minimum of 15% margin across all segments for sustainable growth to improve balance.

Products

Sales volume, revenue, and profitability all exhibit distinct disparities, according to the product performance analysis. The best-performing product overall is the solar panel, which leads in both revenue (14.7M) and profit (3.4M). Other profitable products include the laptop and insurance plan. High sales volumes but low profit margins for flight tickets and printers point to problems with pricing or costs. The business should continue to use high-performing products like laptops and solar panels to maintain profitability and growth.

Sales Channels

Online and offline sales channels contribute equally to HealthPlus International's sales performance, with the online channel slightly outperforming the offline one in terms of total revenue and units sold. Strong adaptability in both traditional and digital markets is highlighted by the fact that Diana leads profit among sales representatives, while Alice and Eve stand out in revenue generation. All things considered, the results indicate that sustaining dual channel investment, distributing best practices from high performers.

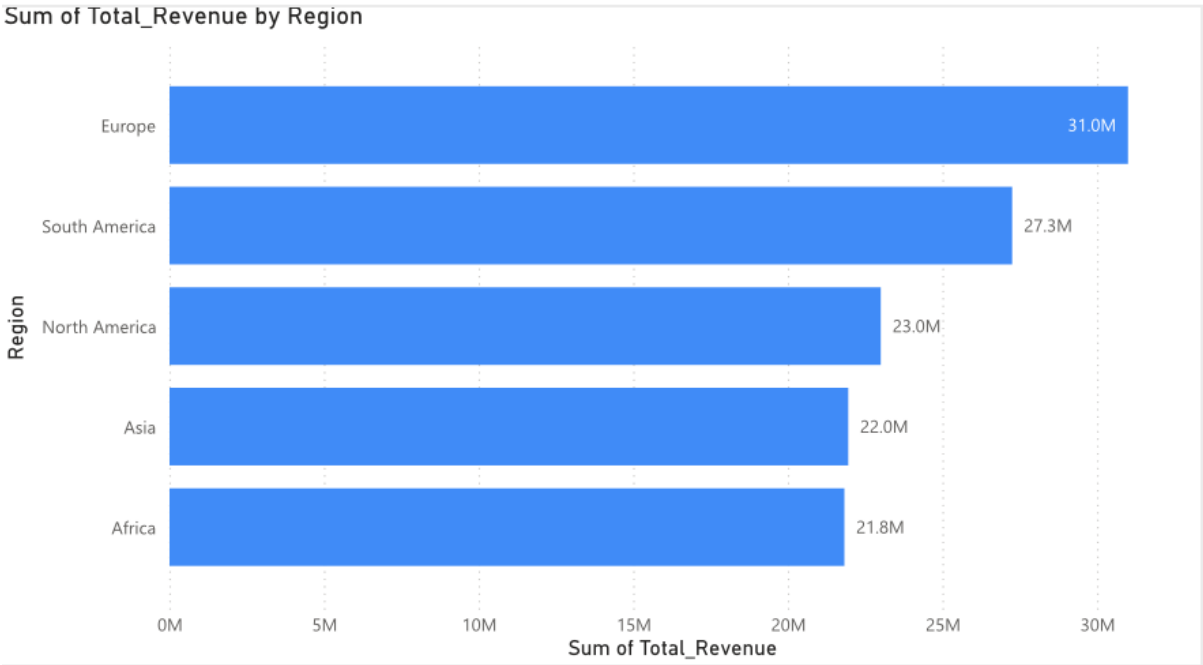
COVID-19 Effect and Recovery

The company's profits increased steadily between 2016 and 2019, reaching a peak of 4.9M, before the COVID-19 pandemic caused a steep decline in 2020. The crisis led to a 98% decrease in the profit. In the following five years, all regions showed positive dynamics, except North America. Prioritising Europe, Africa, Asia, and South America will help the business grow in the future. It should concentrate on high-margin products, such as printers, monitors, laptops, and solar panels, and investigate opportunities in flight tickets and insurance plans.

KPI's Totals (Revenue, Profit, and Units sold)

This section analyses the performance of HealthPlus International in terms of revenue, profit, and units sold across 5 regions (Europe, North America, South America, Asia, and Africa). The aim is to identify the company's strongest markets and areas that require attention.

Global Revenue by Region

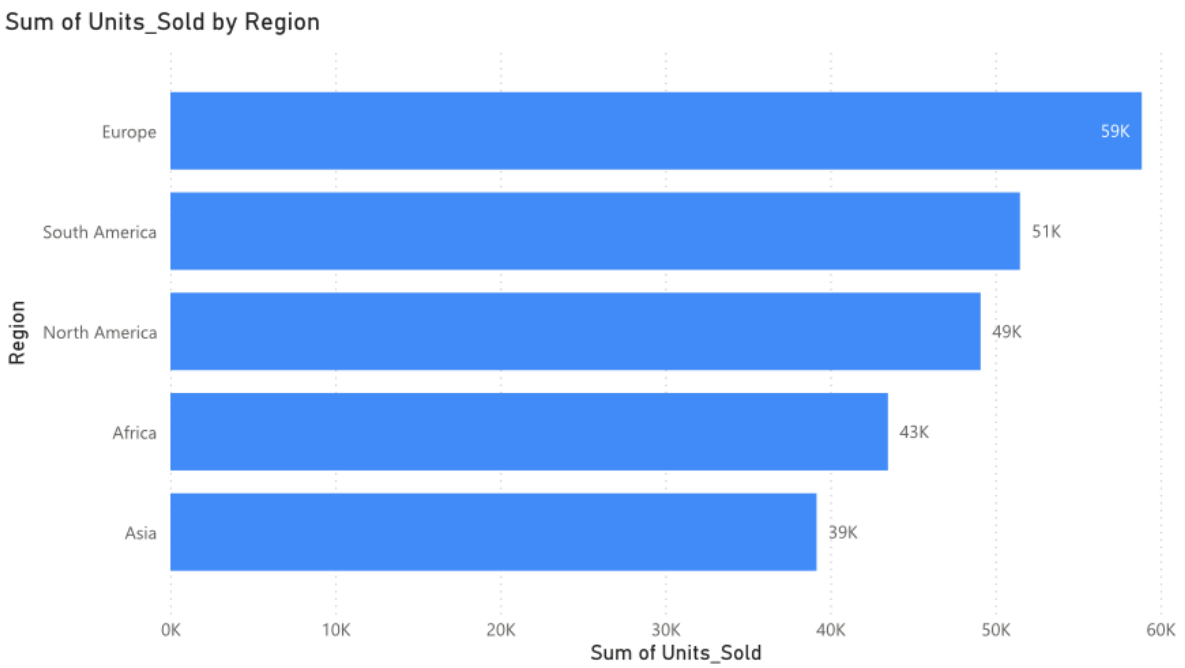


This analysis highlights the markets that contribute the most to overall revenue, and indicates where the company's strengths lie. It also identifies regions that may need additional investment and focus to improve performance.

Europe is the company's largest market; it generates 25% of total global revenue. South America and North America follow with 22% and 21% respectively, while Asia and Africa contribute 17% each to global revenue.

The strong position in Europe highlights the existence of a mature market and the need for retention strategies to maintain dominance. Asia and Africa are regions with long-term growth potential; strategies should be tailored with the aim of unlocking further value.

Units Sold by Region

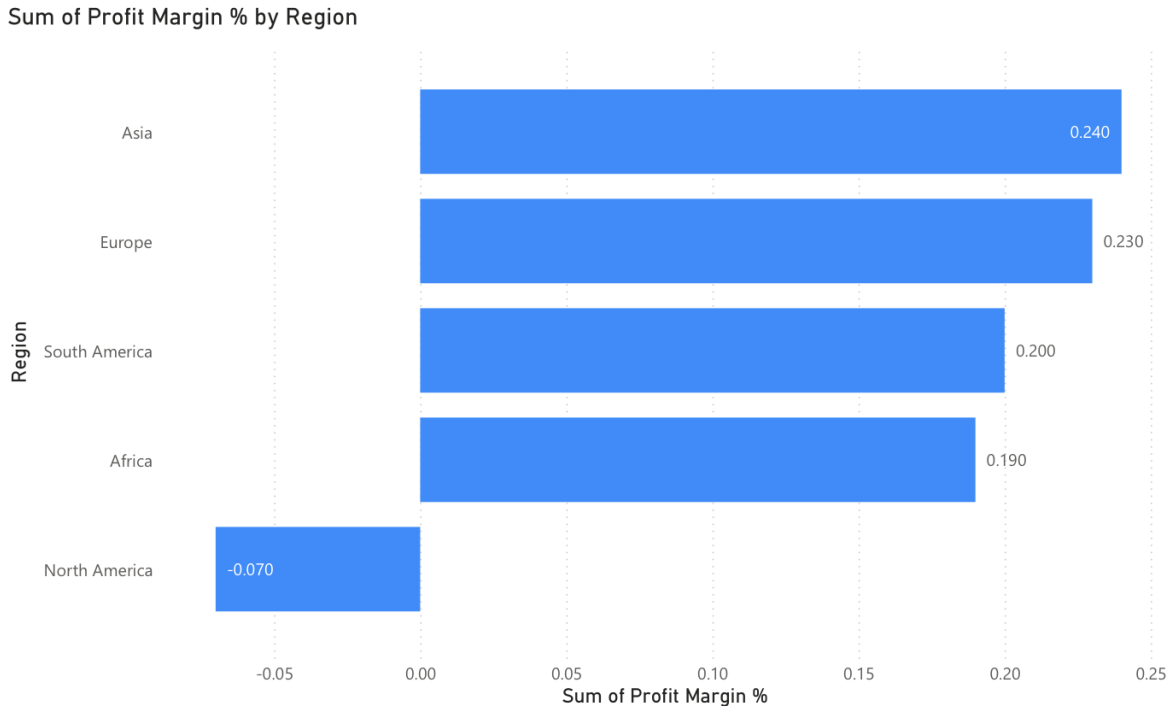


Analysing units sold by region identifies where product demand is strongest and where it needs to be stimulated.

Europe has the majority of the share with 24% accounting for 59,00 units. South America and North America closely follow 51,000 and 49,000 units sold respectively forming formidable competition for Europe. Meanwhile units sold in Asia and Africa are slightly lower, 43,000 in Africa and 39,000 in Asia.

This analysis reinforces the trend of Europe being the strongest market.

Profit Margin by Region



Profit margin analysis reveals where high sales may not equate to profitability and helps management prioritise cost optimisation or adjustments in pricing strategy.

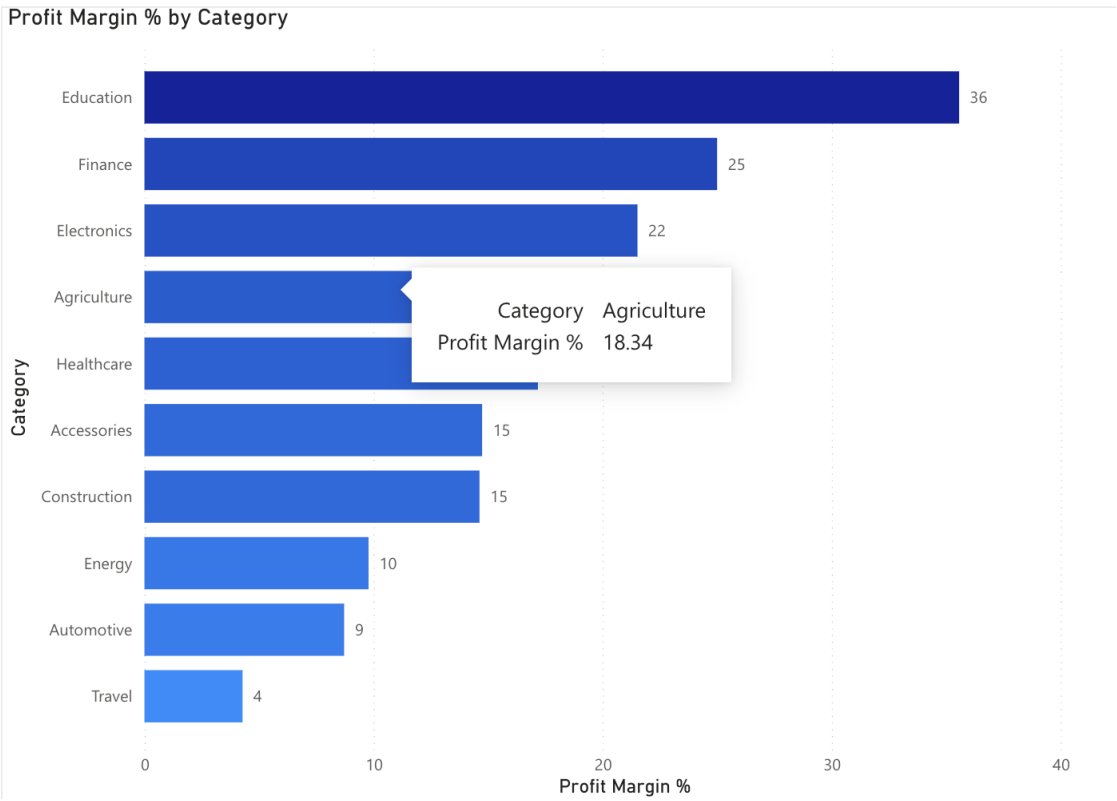
Analysis of HealthPlus International's profit margin by region shows that Asia achieves the highest profit margin with 24% and is then followed by Europe, South America and Africa with 23%, 20% and 19% respectively. HealthPlus International does not make a profit from operations in North America, which can be seen from North America's negative profit margin percentage of -7%, despite the 49,000 units sold.

Operations in North America are extremely inefficient. Factors such as pricing and cost management could potentially be eroding profitability.

Categories

HealthPlus International operates across ten distinct product and service categories. This analysis evaluates how well these segments are doing in terms of profitability, market position, and strategic opportunities.

The category analysis is very important for finding high-growth opportunities and fixing operational problems in segments that aren't doing well.



Profitability Performance Analysis

The profit margin distribution shows that there are big differences in performance between categories, with a 31.3 percentage-point gap between the best and worst performers.

Education makes 35.6% of profit, making it Healthplus's top segment. Travel, on the other hand, only makes 4.3% profits, which suggests problems with costing or pricing.

Performance Tiers:

High-Margin Categories (>30):

Education (35.6%) is the clear leader, showing that it can run its business very well, set prices that are hard to beat, and stay ahead of the competition. This group guides the growth of the business and the use of resources.

Mid-Range Performance (15-30%):

Finance (25.0%) stays profitable by running its business well and having steady demand in the market.

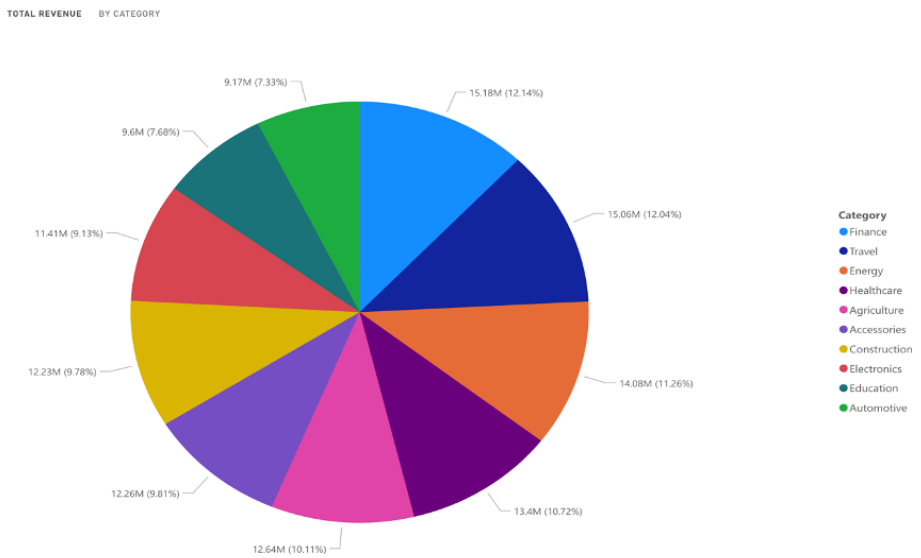
Electronics (21.5%) is strong in the market because it has standardized operations.

Agriculture (18.3%) shows moderate viability and has room for improvement.

Healthcare (17.2%) gives a stable base for making money.

Underperforming Categories (<15%):

Accessories (14.7%), Construction (14.6%), Energy (9.8%), Automotive (8.7%), and Travel (4.3%) operate below healthy profitability thresholds, creating enterprise-wide margin compression risk.



Strategy Category Assessment :

Revenue vs. Profit Contribution:

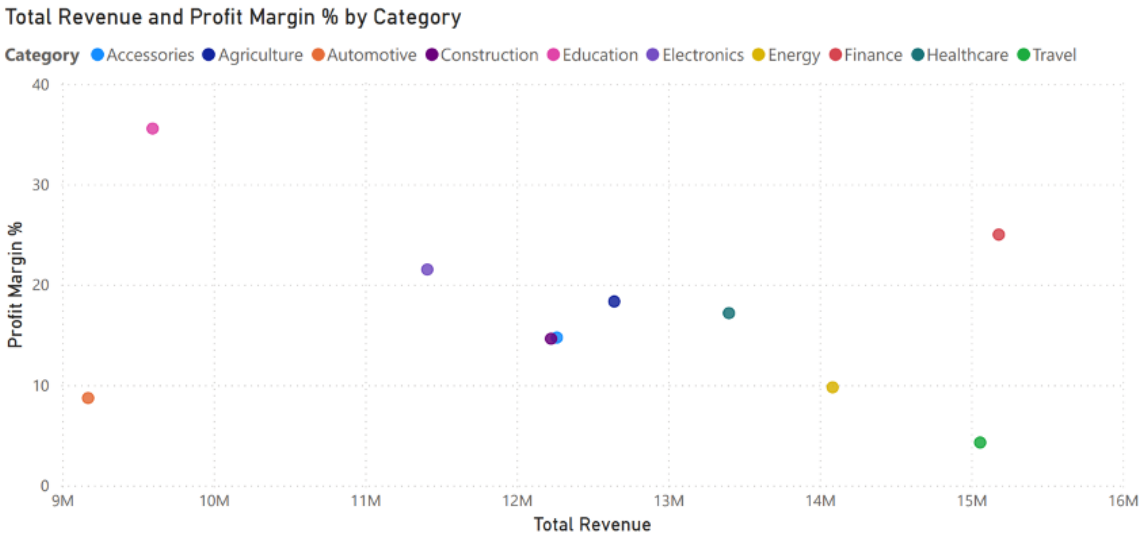
While high-margin categories drive profitability, Revenue distribution may differ significantly. Categories like Healthcare and Finance may have lower margins than Education, but they can still make a lot of money. This makes them strategically important for volume and market coverage.

Important Points:

Only one category (Education) has a margin above 30%, which means the portfolio doesn't have any premium position.

50% of categories have margins below 15%, which makes them vulnerable to changes in the market and rising costs.

The profit concentration risk shows that you might be putting too much faith in the performance of the education category.



Key Findings:

Education (35.6%) leads with exceptional margins, confirming Healthplus's ability to attain premium positioning and implying that portfolio optimization can be modelled after operational excellence in this sector.

Finance (25%) and electronic (21.5%) provide mid-tier performance, offering a growth platform and steady revenue bases.

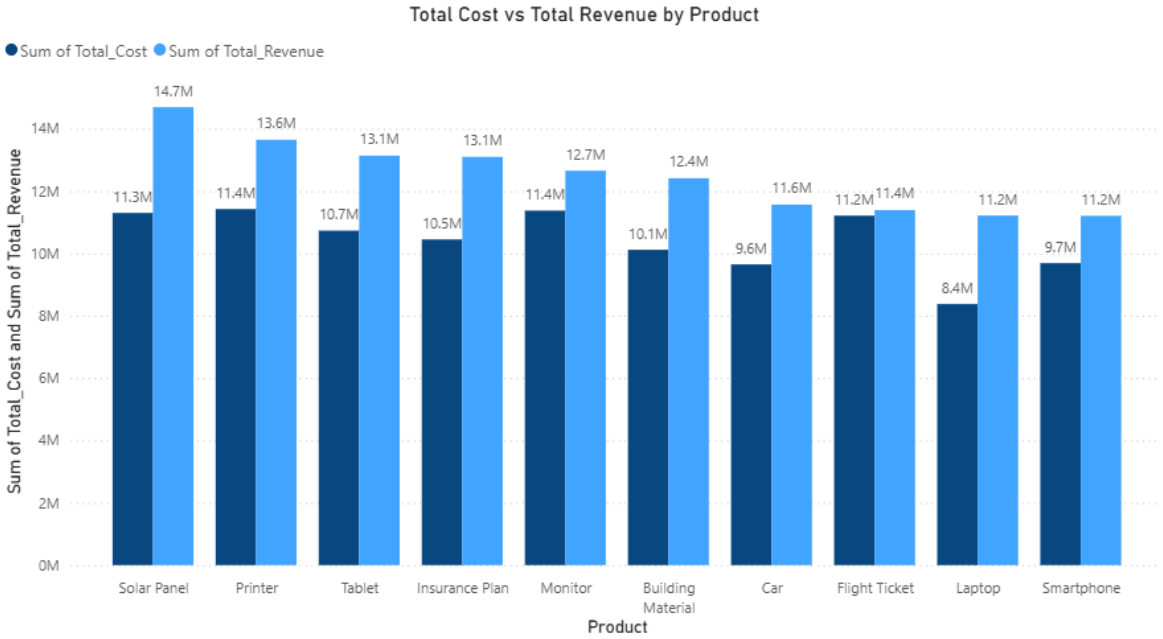
With margins below 10%, Travel (4.3%), Automotive (8.7%), and Energy (9.8%) are all severely underperforming, suggesting problems with the basic cost or market positioning.

If Education performance deteriorates, the 31.3 percentage-point performance gap suggests a portfolio imbalance, with profit concentration posing a strategic risk.

Products Performance

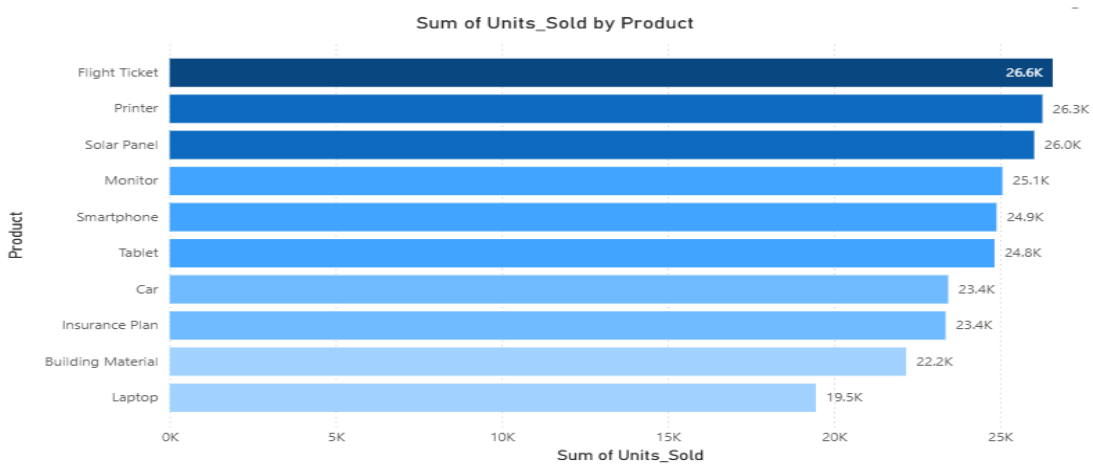
Given an emphasis on revenue contribution, profitability trends, and sales efficiency across various product categories, the analysis that follows provides comprehensive insights into product-level performance.

Total Cost vs Total Revenue



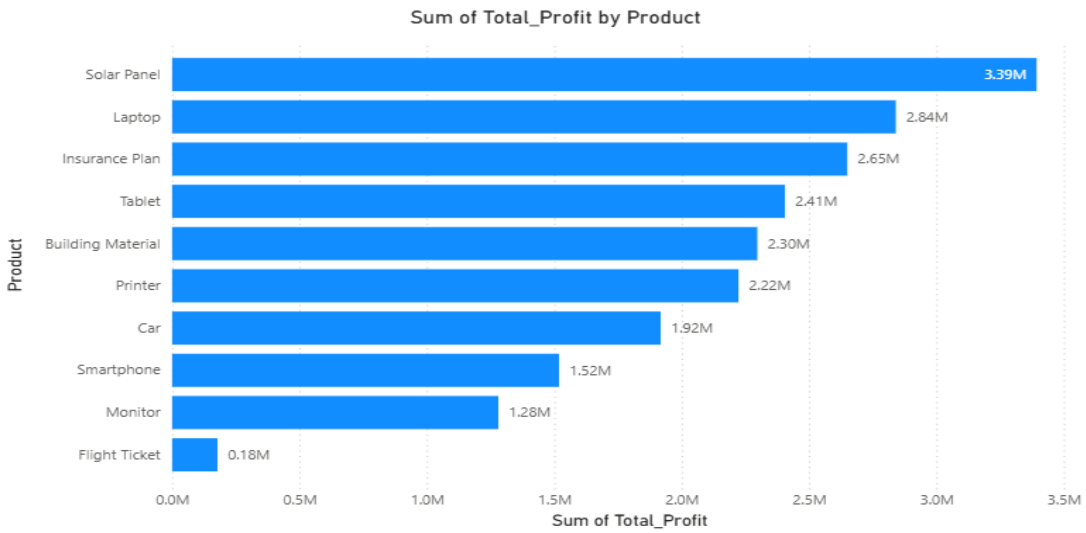
The total cost and total revenue for each product are contrasted in this chart. Profitability is shown in all categories when the light blue bars (revenue) continuously outnumber the dark blue bars (cost). Strong sales performance is demonstrated by the solar panel, which generates the highest revenue at 14.7M, followed by Printer and Tablet. Products with similar cost-to-revenue ratios, such as smartphones and flight tickets, indicate lower profit margins and possible problems with pricing or costs.

Sum of Units Sold by Product



The total number of products sold for each product is displayed in this chart. The most expensive product in this chart is the Flight ticket (27K) which is closely followed by printer (26K) and solar panel (26K). Both demand and sales volumes for these products are high. The lowest selling prices, on the other hand, are for laptops (19K) and building materials (22.2K), suggesting either comparatively little growth or higher prices that may have an impact on sales volume.

Sum of Total Profit by Product



The products that contribute most to overall profit are highlighted in this chart. With 3.4 million dollars in profit, the solar panel comes in first, followed by laptop (2.8M) and the insurance plan (2.6M). The primary source of profit is these products. However, despite potentially high sales volume, Flight ticket (0.2M) and Monitor (1.3M) rank lowest in terms of overall profit, suggesting a small financial return.

Overall Analysis

Overall, the analysis shows Flight tickets and printer products lead in terms of sales volume, but solar panels, laptops, and insurance plans are the main contributors to total profit. This implies that some popular products may not always be the most profitable, perhaps as a result of reduced pricing margins or increased expenses.

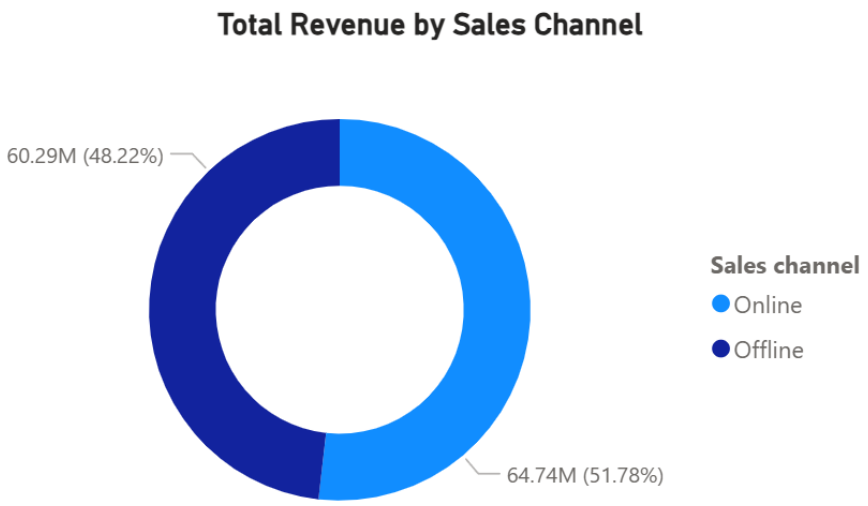
With high revenue, solid profit, and exceptional sales volume, the solar panel is the most well-balanced performer. The flight ticket, on the other hand, has the most units sold but the lowest net profit, indicating a potential area for profit adjustment or cost optimization.

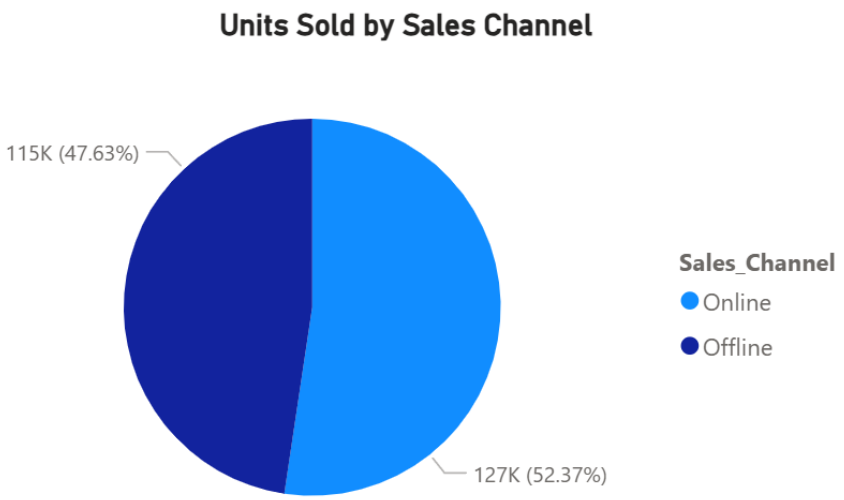
From a strategic standpoint, increasing the profit margins on high-volume products like flight tickets and keeping up with the high-profit products like laptops and solar panels would maximize both revenue and profitability for long-term growth.

Sales Channel

This section analyzes the sales performance of HealthPlus International by exploring various factors like profit, revenue and total units sold across 2 major sales channels (online and offline) and also analyzes the contribution of individual sales representatives.

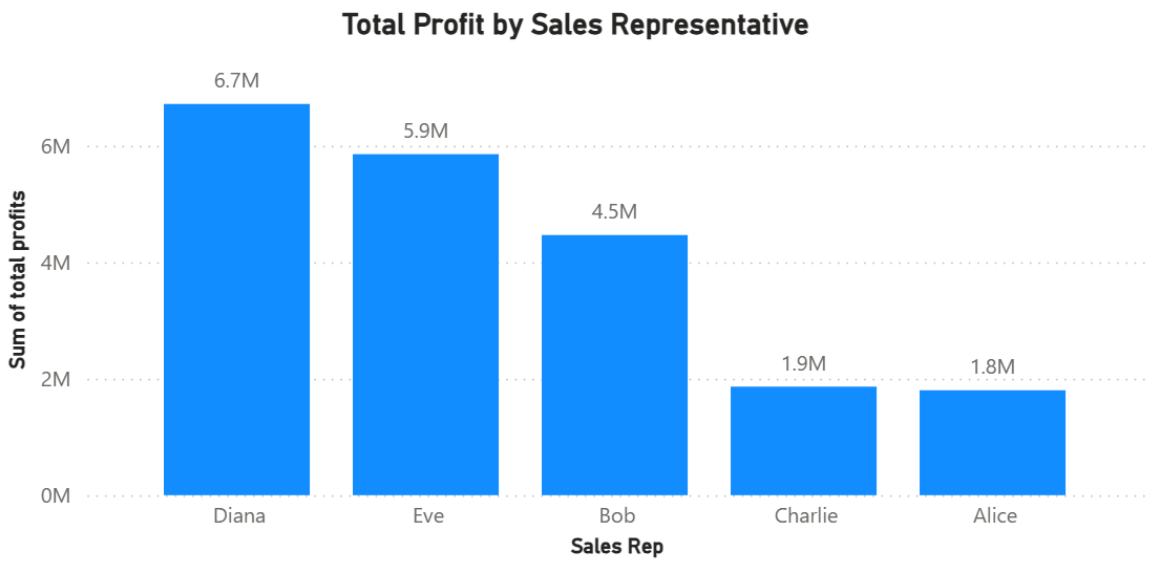
According to the data, both sales channels perform well which indicates that the company has a strong presence in both digital and traditional markets. The online channel generates slightly more revenue, specifically 52%, while the offline channel makes up the remaining 48%.

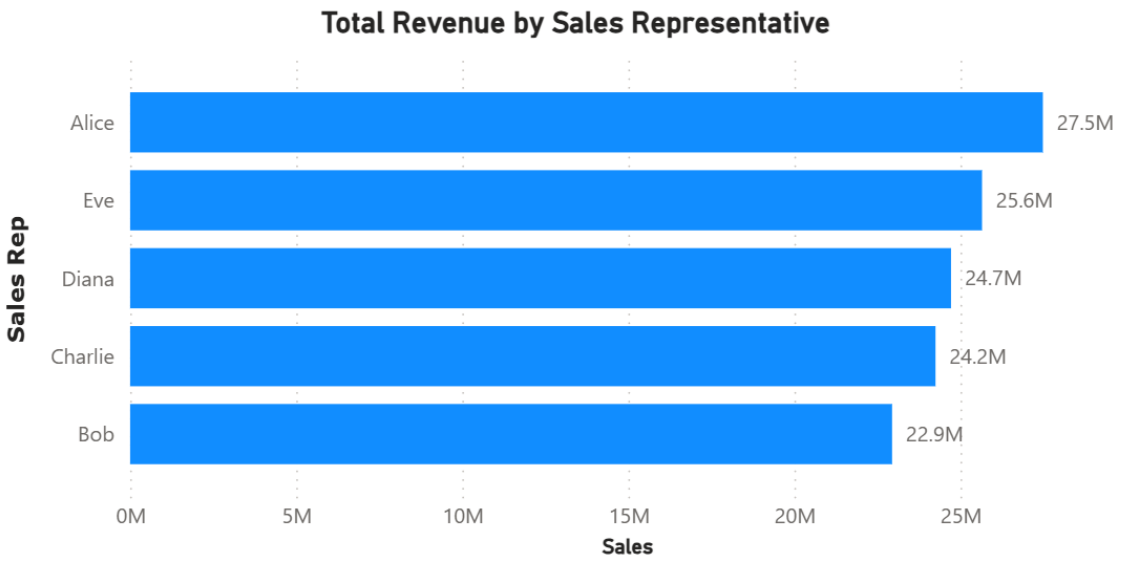




Sales Representative Performance

All the sales representatives have different performance in both profit and revenue generation. Where among the whole team, Alice and Eve lead in the total revenue generated, while Diana leads in the overall profit earned, followed by Eve, Bob and others. This shows different sales approaches and customers, creating chances to learn from each other and sharing what works.





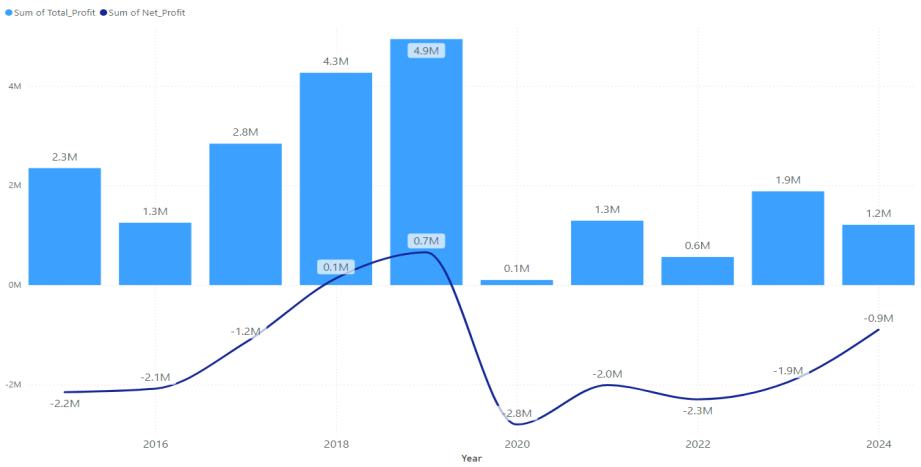
Key Observations

Balanced channel contribution:
The online channels perform slightly better than the offline channel, but both channels remain essential. This balance helps the company to be ready to adapt to shifts in customer preferences.

High performing representatives:
Few sales representatives generate a large share of the total sales of the company while some lag behind, which shows how individual performance influences the overall company's results.

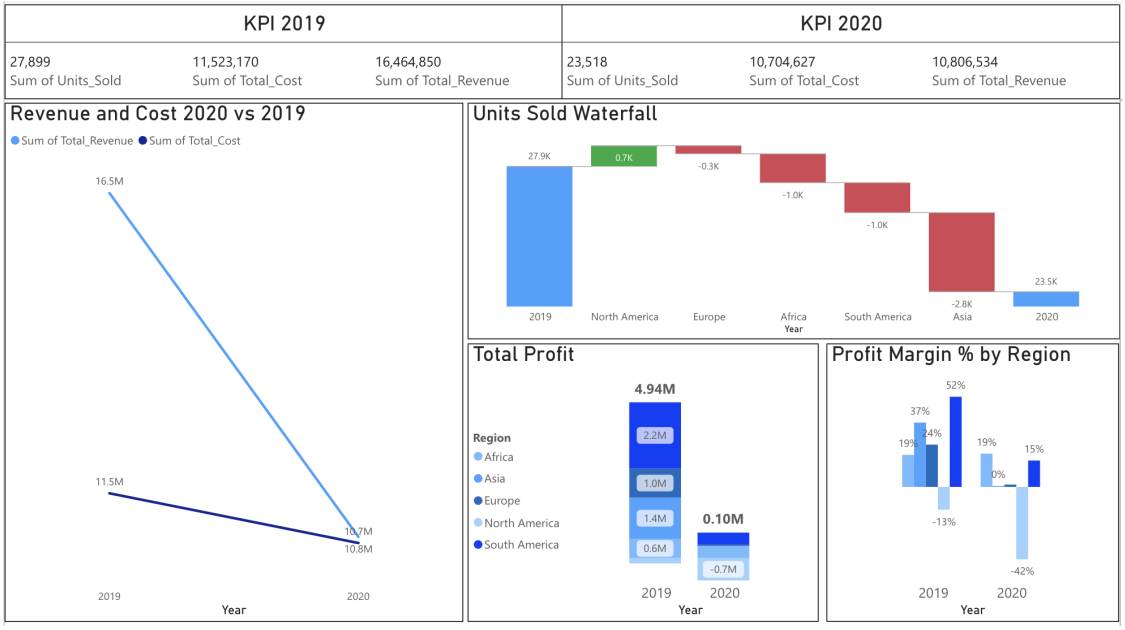
Potential for improvement:
Providing extra support and training can help low-performing representatives and sales channels improve their results.

COVID-19 Effect and Recovery



The company demonstrated a steady increase in total profit from 2016 to 2019, growing from 1.3M to 4.9M, and achieving positive net profits of 0.1M and 0.7M in 2018 and 2019. However, in 2020, total profit dropped to 0.1M. Net profit followed with a negative 2.8M. Since then, neither of the measures has returned to the 2019 level.

To investigate reasons behind the decline in 2020, we got a look at KPIs and regional dynamics.

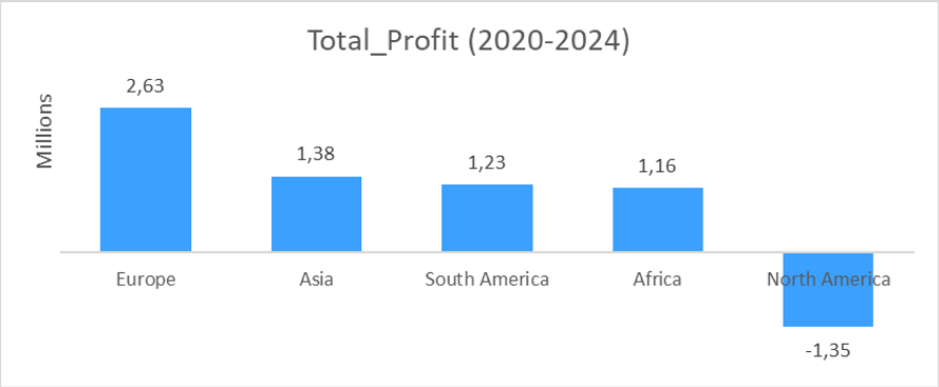


While costs decreased slightly by 7%, total revenue dropped significantly by 34%. The gap between revenue and cost nearly disappeared. Units Sold fell from 28K to 24K (-16%), mostly in Asia (-2.8K). Other regions also experienced volume losses, while North America, in contrast, recorded an increase of 0.7K units.

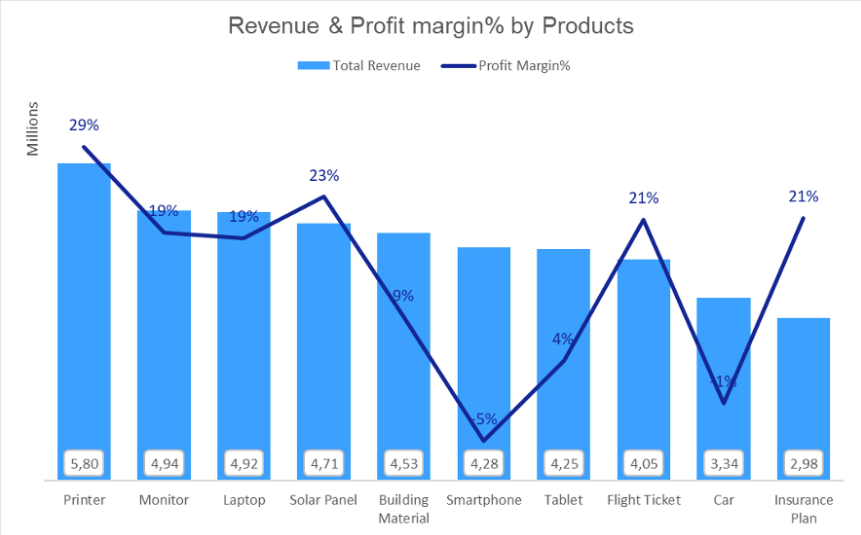
Overall, total profit nosedived from 4.94M to 0.10M, by a significant 98%. Profit margin in 2019 was healthy (from 19 to 52%, by region). In 2020, margins plunged across regions,

especially in Asia (-42%) and in Europe (0%). Only Africa and North America retained a positive margin, 19% and 15%, respectively.

In our opinion, the sharp decline in 2020 was largely driven by the global impact of the COVID-19 pandemic. Lockdowns and supply chain disruptions reduced sales volumes - especially in Asia, which faced the steepest drop. Despite lower revenues, operating expenses remained relatively high, leading to a near-zero profit margin.



For the past 5 years, following the pandemic, Europe showed the best profit margin, 2.63M. Africa, Asia, and South America were also positive with 1.2-1.4M. North America showed the worst performance, bringing a negative result of 1.35M. The company should focus on 4 regions and try to gain a competitive advantage there. The best products to do so will be Printer, Monitor, Laptop, and Solar Panels, as they bring high revenue and show good profit margins. There are prospective products like Flight Ticket and Insurance Plans; despite lower revenue, they show a high profit margin of 21%. On the other hand, smartphones, tablets, building materials, and cars with PM lower than 10% require assessing their relevance and acting on whether to suspend or completely change an approach for them.



Recommendations:

Regions

The strategy should focus on retaining Europe's strongest market and try to replicate successful sales practices in other regions. In Asia, Africa, and South America, there is a growth potential, with a high profit margin; the strategy should aim to unlock further value. In North America, actions should be taken for cost reduction and portfolio optimization.

Categories

Conduct an urgent cost-structured review for the Travel, Automotive, and Energy categories. Make best practices in the education category the enterprise standard. Create category-specific strategic plans aiming for a minimum 15% margin across all segments.

Use a real-time dashboard and margin tracking metrics to continuously assess the health of the category portfolio.

Products

With high revenue, solid profit, and exceptional sales volume, the solar panel is the most well-balanced performer. The flight ticket, on the other hand, has the most units sold but the lowest net profit, indicating a potential area for profit adjustment or cost optimization.

From a strategic standpoint, increasing the profit margins on high-volume products like flight tickets and keeping up with the high-profit products like laptops and solar panels would maximize both revenue and profitability for long-term growth.

Sales channel

The company should continue to invest in both sales channels, ensuring support for digital initiatives while also promoting in-person engagement. The approaches of top-performing representatives should be analysed, and successful practices should be adopted more broadly. Also, it is recommended to provide additional support and resources to representatives and channels with lower sales results, aiming to boost overall performance and profitability.

COVID-19 Recovery

For recovering regions as Asia and South America, launch localized marketing and pricing strategies. Perform a quarterly KPI review to ensure early exposure of dynamic change signalling about emerging threats. Focus on 4 better-performing regions, except North America. Invest in maintaining an advantage in products such as Printer, Monitor, Laptop, and Solar Panels, and investigate opportunities for Flight Ticket and Insurance Plans, trying to broaden the market for these highly profitable products.